

■ Endowment Effect

■ What is it?

The human tendency to overvalue what we own.

People often place a higher value on things they already have compared to their actual market worth.

For example, many free trial apps turn into paid subscriptions because users already have their data, projects, or playlists stored inside.

■■ History

The term **Endowment Effect** was first studied by **Richard Thaler (1980)** in behavioral economics.

It showed that ownership creates a sense of attachment, making people demand more to give something up than they would be willing to pay to acquire it.

This effect is strongly tied to **loss aversion**—the idea that people fear losing more than they enjoy gaining.

■ The Psychology Behind It

- **Ownership bias** → once we feel something is “ours,” it feels more valuable.
- **Loss aversion** → letting go feels like losing, even if the object has little real value.
- **Emotional connection** → personalization or effort invested makes it harder to part ways.

This is why people keep using platforms where they've already built progress or memories.

■■ Why It Matters

The endowment effect can lead to:

- Higher retention and loyalty
- Increased purchase likelihood

- More referrals and sharing
- Higher perceived value
- But also, **biased decisions** and resistance to switching products

■ How to Apply It

- **Offer free trials or demos** → let users “own” progress before purchase.
- **Enable personalization** → avatars, themes, saved playlists, or dashboards.
- **Encourage commitment** → highlight invested time or effort.
- **Smooth upgrade paths** → easy transition from free to paid plans.
- **Reinforce ownership** → reminders of unique benefits and saved progress.

■ Theory in Action

- **Shopify** supports new users with free trials, blogs, and lessons, helping them invest effort into building their store.
- **Apple showrooms** let people freely explore devices, creating personal attachment before buying.

■ Final Thought

Saved playlists, customized dashboards, and personal profiles keep users coming back—not because of more features, but because they feel a sense of ownership.

Great UX isn't always about adding—it's about making the experience feel like it truly belongs to the user.